Apple Inc.

Apple Reports First Quarter Fiscal 2026 Results

CUPERTINO, CALIFORNIA — January 22, 2026 — Apple Inc. (Nasdaq: AAPL) today announced financial results for its fiscal 2026 first quarter ended December 27, 2025.

- Net sales of $104.2 billion, up 5% year over year
- GAAP diluted EPS of $2.20
- Operating income of $34.3 billion, a 32.9% margin
- Services revenue: $23.6 billion
- Installed base of active devices: a new all-time high

“Q1 FY2026 was a resilient quarter for Apple. Net sales grew 5% to $104.2 billion, with Services up 10% on growth in advertising, cloud services and payments, with a record installed base,” said Daniel Whitford, Chief Executive Officer. “Our teams delivered for customers and we enter the next quarter with momentum.”

“Operating cash flow was $34.1 billion and we returned $8.8 billion to shareholders through dividends and repurchases. Diluted earnings per share were $2.20,” said Priya Raman, Chief Financial Officer.

Operating highlights

Services revenue	**$23.6 billion**
Installed base of active devices	**a new all-time high**
Cash returned to shareholders	**$8.8 billion**

iPhone revenue was $56.8 billion, up 6.0% compared with $53.6 billion in the prior-year period, reflecting demand for the iPhone 17 family and continued growth in emerging markets.

Mac revenue was $6.9 billion, up 0.2% compared with $6.9 billion in the prior-year period, reflecting the M5 MacBook Air and MacBook Pro launches.

iPad revenue was $6.7 billion, up 1.2% compared with $6.6 billion in the prior-year period, reflecting a difficult comparison against last year's iPad Air launch.

Wearables, Home and Accessories revenue was $10.2 billion, down 4.7% compared with $10.7 billion in the prior-year period, reflecting softer Apple Watch and AirPods demand.

Services revenue was $23.6 billion, up 9.5% compared with $21.5 billion in the prior-year period, reflecting growth in advertising, cloud services and payments, with a record installed base.

Dividend

The Board of Directors declared a cash dividend of $0.25 per share of common stock, payable to shareholders of record as of the close of business in the second month of the coming quarter.

Conference call

Apple will host a conference call and webcast at 2:00 p.m. PT today to discuss these results. A replay will be available on the investor relations website for approximately two weeks.

Forward-Looking Statements

This release contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995, including statements about Apple's outlook, product plans, capital expenditures and capital return. These statements involve risks and uncertainties, and actual results may differ materially. Factors that could cause results to differ include those described under 'Risk Factors' in the Company's most recent Annual Report on Form 10-K and subsequent Quarterly Reports on Form 10-Q. The Company undertakes no obligation to update forward-looking statements.

About Apple

Apple designs, manufactures and markets smartphones, personal computers, tablets, wearables and accessories, and sells a variety of related services. The Company's fiscal year is the 52- or 53-week period that ends on the last Saturday of September.

Contacts

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CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS

(Unaudited) (in millions, except per-share amounts)

	Three months ended Dec 27, 2025	Three months ended Dec 28, 2024
Net sales	104,201	99,333
Cost of sales	55,185	52,538
Gross margin	49,016	46,795
Operating expenses:		
Research and development	8,023	7,649
Selling, general and administrative	6,669	6,357
Total operating expenses	14,692	14,006
Operating income	34,324	32,789
Other income/(expense), net	42	40
Income before provision for income taxes	34,365	32,829
Provision for income taxes	5,498	5,253
Net income	28,867	27,576
Earnings per share:		
Basic	$2.21	$2.09
Diluted	$2.20	$2.08
Shares used in computing diluted EPS (thousands)	13,149,899	13,250,101
Cash dividends declared per share	$0.25	$0.25

Net sales by segment (in millions)

Segment	Q1 FY2026	Q1 FY2025	Change
iPhone	56,820	53,603	6.0%
Mac	6,896	6,883	0.2%
iPad	6,725	6,643	1.2%
Wearables, Home and Accessories	10,161	10,658	(4.7%)
Services	23,599	21,546	9.5%
Total	**104,201**	**99,333**	**4.9%**

CONDENSED CONSOLIDATED BALANCE SHEETS

(in millions) (Unaudited)

	Dec 27, 2025	Sep 27, 2025
ASSETS		
Cash, cash equivalents and marketable securities	71,506	62,768
Accounts receivable, net	46,890	34,923
Inventories	10,420	7,761
Other current assets	8,336	6,208
Total current assets	137,152	111,660
Property, plant and equipment, net	75,858	56,497
Goodwill and intangible assets	93,781	69,845
Other non-current assets	36,470	27,162
Total assets	343,262	265,164
LIABILITIES AND SHAREHOLDERS' EQUITY		
Accounts payable	43,764	32,594
Other current liabilities	31,260	23,282
Total current liabilities	75,025	55,876
Long-term debt	92,000	92,000
Other non-current liabilities	74,094	39,835
Total liabilities	241,119	187,711
Total shareholders' equity	102,143	77,452
Total liabilities and shareholders' equity	343,262	265,164

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(in millions) (Unaudited)

	Three months ended Dec 27, 2025	Three months ended Dec 28, 2024
Operating activities:		
Net income	28,867	27,576
Depreciation and amortization	3,126	2,980
Share-based compensation expense	3,126	2,980
Changes in operating assets and liabilities and other	(1,042)	(993)
Cash generated by operating activities	34,077	32,543
Investing activities:		
Payments for acquisition of property, plant and equipment	(2,918)	(2,781)
Purchases and maturities of marketable securities, net	(4,089)	(3,905)
Cash used in investing activities	(7,007)	(6,686)
Financing activities:		
Payments for dividends	(3,287)	(3,313)
Repurchases of common stock	(5,500)	(5,500)
Proceeds from (repayments of) debt, net	0	0
Cash used in financing activities	(8,787)	(8,813)
Increase (decrease) in cash and cash equivalents	18,283	17,044